

2000

The Dotcom Bubble

January: Jobs returns to Apple

Steve Jobs was appointed full-time CEO of Apple Computer. After having been chucked out of the company more than a decade earlier, Steve Jobs had started NeXT, which was ultimately bought by Apple.

January: The Transmeta Crusoe

Transmeta launched the x86 processor Crusoe, focusing on energy efficiency. The first processor was the 700 MHz TM3120. Unlike the leading players like Intel and AMD, Transmeta's CPU offered significantly lower performance at the same clock speed. But consider that it consumed only 10 per cent of the power! This made it ideal for laptops where battery backup time was a crucial factor. While the company did not make significant inroads into the Desktop PC market, it did help in focusing attention on the issue of power consumption, and ratios like performance per watt.

The Dotcom/Internet Bubble

From mid-1998 to mid-2001, the NASDAQ, an index that tracks mostly technology stocks, went from the 1500 level to a peak of 5000 in mid-2000 before plunging back to the 1500 levels a year later. This period is referred to as the Dotcom/Internet bubble, since most of the stocks that saw the sudden increase and equally sudden decrease in their stock prices were those of Internet-based businesses.

After the release of the first graphical browsers - Mosaic and Netscape - the popularity of the Internet grew exponentially. A new breed of entrepreneurs realised the business potential of the internet, and the convenience of doing business on the Internet. It was feared that dot-coms would lay to waste all businesses in the real world, referred to as brick-and-mortar companies. Many reasons are proposed to explain the sudden spike in investor interest in online company stocks. Since the Internet was a new medium,